

Product prices will outpace crude as Middle East conflict drags on

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【メール原文】

Crude prices will stay high as Middle East standoff continues. While the US has stepped back from military escalation against Iran, the absence of progress toward a deal means the confrontation will likely continue as a low-intensity standoff (see: US-Iran standoff will drag on as urgency for a deal falls , 17 August 2026).

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While the risk of US escalation has fallen, the standoff between the US and Iran will likely drag on, keeping crude prices elevated.

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Crude continues to flow through the Strait of Hormuz, with data suggesting 6-8 million barrels per day (bpd) is passing through despite Iranian attacks.

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Disruptions to refining operations have pushed product prices up faster than crude prices, contributing to historically high “crack spreads,” or refiner margins, especially for diesel.

Crude prices will stay high as Middle East standoff continues. While the US has stepped back from military escalation against Iran, the absence of progress toward a deal means the confrontation will likely continue as a low-intensity standoff (see: US-Iran standoff will drag on as urgency for a deal falls , 17 August 2026).

Although some oil is moving through the Strait of Hormuz (see: Oil prices will fall even if Hormuz traffic only partially recovers , 13 August 2026), ongoing disruption and the persistent risk of escalation will keep Brent prices near the upper end of Eurasia Group’s \$75-\$95 per barrel range until conditions for diplomacy improve.

Oil flows through Hormuz remain above the wartime average, although US claims that exports have returned to prewar levels are likely exaggerated. Kpler data suggest that roughly 6-8 million barrels per day is passing through the strait, largely through a “shuttle service” in which tankers transit with their transponders turned off and transfer oil to waiting vessels in the Gulf of Oman via ship-to-ship transfers.

Recent comments from Iranian officials suggest Iran may take more aggressive steps to disrupt flows through the strait and along alternative routes as it seeks to drive up oil prices and increase pressure on the US.

Manageable crude prices mask rising pressure on refined products. Although crude prices have not returned to their wartime peaks, they remain relatively high. At the same time, prices for many refined products are seasonally elevated, which in turn is causing “crack spreads”—the gap between crude and refined product prices, and a common measure for refiners’ profits—to reach historic highs.

Conflict in major refining hubs is driving the increase in product prices. Ukrainian attacks on Russian refineries have steadily reduced Russian exports of refined products, particularly middle distillates such as diesel, while Iran's efforts to keep Hormuz disrupted and Houthi attacks on Saudi Arabia are disrupting product flows from the Middle East.

In the US, diesel will face tighter supplies. While domestic gasoline prices have edged back above \$4 per gallon due to the ongoing confrontation with Iran, diesel prices are rising faster and are approaching their wartime highs of over \$5.50 per gallon, reflecting a global squeeze on middle distillates. US commercial stocks of diesel are at historic lows and will likely continue to fall, adding to price pressures.

Refineries are operating at maximum capacity. They usually reduce throughput in the fall to conduct maintenance, but historically high crack spreads will probably keep most refineries operating near maximum capacity through September. An external shock, such as an accident that shuts down a major refinery or a major storm in the Gulf of Mexico, would put even more upward pressure on diesel prices.

Europe's core concern remains heating oil. While Europe also faces more pressure on middle distillates because of disruptions in Russia and the Middle East and North Africa, heating oil poses a more distinct risk as the continent heads into the colder months (see: Oil prices will fall even if Hormuz traffic only partially recovers , 13 August 2026). However, high inventories coming out of last winter mitigate the risk of shortages.

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